केन्द्रीय विद्युत विनियामक आयोग
CENTRAL ELECTRICITY REGULATORY COMMISSION

नई दिल्ली
NEW DELHI

याचिका संख्या./ Petition No. 78/MP/2023

कोरम/ Coram:

श्री जिश्नु बरुआ, अध्यक्ष/Shri Jishnu Barua, Chairperson
श्री रमेश बाबू वी., सदस्य/Shri Ramesh Babu V., Member
श्री हरीश दुदानी, सदस्य/Shri Harish Dudani, Member
श्री रविंदर सिंह ढिल्लों, सदस्य/Shri Ravinder Singh Dhillon, Member

आदेश दिनांक/ Date of Order: 14th of January, 2026

IN THE MATTER OF:

Petition under Section 79 of the Electricity Act, 2003 and Article 12 read with Article 16.3.1 of the Power Purchase Agreement dated 20.08.2021 executed by the Petitioner and Solar Energy Corporation of India, seeking relief on account of a Change in Law viz. increase in the rate of Goods and Services Tax.

AND IN THE MATTER OF:

Thar Surya 1 Private Limited (TS1PL)
14th Floor, Tower B, Vatika Towers,
DLF Golf Course Road, Suncity,
Sector 54, Gurugram - 122003

...**Petitioner**

Versus

1. **Solar Energy Corporation of India Limited**
   6th Floor, Plate-B, NBCC Office Block Tower-2,

East Kidwai Nagar, New Delhi-110023

2. **BSES Rajdhani Power Limited**
   BSES Bhawan, Nehru Place,
   New Delhi 110019

3. **BSES Yamuna Power Limited**
   Shakti Kiran Building, Karkardooma
   New Delhi 110032

… Respondents

Parties Present:

Shri Syed Jafar Alam, Advocate, TS1PL
Shri Ashwin Ramanathan, Advocate, TS1PL
Ms. Ankita Kamath, Advocate, TS1PL
Shri Arijit Maitra, Advocate, BRPL & BYPL
Ms. Pallavi Maitra, Advocate, BRPL & BYPL
Ms. Anusha Nagarajan, Advocate, SECI
Ms. Ritika Singh, Advocate, SECI

आदेश/ ORDER

The Petitioner, Thar Surya 1 Private Limited (TS1PL), is a generating company that has setup a 300 MW Solar Power Generating System (SPGS) (the Project) in Bikaner District, Rajasthan. Solar Energy Corporation of India Limited (SECI) issued a Request for Selection (RfS) dated 20.03.2020, inviting proposals for development of 2000 MW ISTS connected solar power projects. TS1PL submitted its bid on 22.06.2020, and the e-Reverse auction took place on 30.06.2020. TS1PL was a successful bidder having quoted the tariff of INR 2.37/kWh for a capacity of 300 MW. Thereafter, SECI issued a Letter of Award (LoA) in the name of M/s Avikiran Surya India Private Limited (parent company of the Petitioner) on 15.07.2020. Pursuant to the LoA, TS1PL executed a Power Purchase Agreement (PPA) with SECI on 20.08.2021 with effective date as 27.07.2021 under a composite scheme for the generation and supply of power to BSES Rajdhani Power Limited (BRPL) and BSES Yamuna Power Limited (BYPL). The Project was commissioned on 24.11.2022. TS1PL has filed the present Petition seeking relief on account of a Change in Law event under Article 12 of the PPA dated 20.08.2021, specifically the increase in the rate of Goods and Services Tax (GST) qua the

issuance of Notification No. 8/2021 Central Tax (Rate) and Notification No. 8/2021 Integrated Tax (Rate) dated 30.09.2021 by the Ministry of Finance, Government of India, and Notification No. 8/2021 State Tax (Rate) by the Department of Finance, Government of Rajasthan.

2. Respondent No. 1, Solar Energy Corporation of India Limited (SECI), is under the administrative control of the Ministry of New and Renewable Energy (MNRE) to facilitate the implementation of Jawaharlal Nehru National Solar Mission (JNNSM) for the development, promotion, and commercialisation of solar energy technologies in the country and to achieve targets set out in the JNNSM. SECI is acting as an intermediary procurer and holds a power trading license.

3. Respondent Nos. 2 and 3, BRPL and BYPL, are distribution licensees in the National Capital Territory of Delhi. BRPL and BYPL have executed Power Sale Agreements (PSAs) dated 20.07.2021 with SECI for the sale of 210 MW and 90 MW power, respectively, generated from the Petitioner's Project.

4. The Petitioner has made the following prayers:

   a) *Declare that the issuance of Notification No. 8/2021 Central Tax (Rate) and Notification No. 8/2021 Integrated Tax (Rate) dated 30.09.2021 by the Ministry of Finance, Government of India and Notification No. 8/2021 State Tax (Rate) by the Department of Finance, Government of Rajasthan, are Change in Law events under Article 12 of the Power Purchase Agreement dated 20.08.2021;*

   b) *Direct Respondent No. 1 to pay Change in Law compensation by way of an increase in tariff of INR 0.097/kWh, subject to reconciliation based on actuals, on account of issuance of Notification No. 8/2021 Central Tax (Rate) and Notification No. 8/2021 Integrated Tax (Rate) dated 30.09.2021 by the Ministry of Finance, Government of India and Notification No. 8/2021 State Tax (Rate) by the Department of Finance, Government of Rajasthan, including interest/ carrying cost at the marginal cost of funds based lending rate (one year tenor) of the State Bank of India as applicable on the 1st April of 2021 (the financial year in which the period lies), plus 500 basis points for the first month of delay from October 2021 (the date when additional expenditure is incurred) till the date from when the increased tariff in terms of Article 12 becomes effective;*

c) *Direct Respondent No. 1, to reimburse the legal and administrative costs incurred by the Petitioner in pursuing the instant Petition; and*

d) *Pass such other orders that this Commission deems fit in the interest of justice.*

Factual Matrix :

5. The brief facts of the case are as under:

Location	Village Dholera 1, Jamser, District Bikaner in the State of Rajasthan
Guidelines	Guidelines for Tariff Based Competitive Bidding Process for Procurement of Power from Grid Connected Solar PV Power Projects
Scheme	Setting-up of 2000 MW ISTS-connected Solar PV Power Projects under Tariff – based Competitive Bidding (ISTS-IX)
Nodal agency	SECI
Capacity	300 MW
Power	Solar PV
RfS issued on	20.03.2020
Bid submitted by TS1PL on	22.06.2020
e Reverse Auction	30.06.2020
Letter of Award (LOA) issued on	15.07.2020
Module Supply Agreement dated	30.07.2020
EPC Contract dated	20.11.2020
Power Sale Agreement (PSA) executed on	20.07.2021
PPA executed on	20.08.2021
Notification No. 8/2021 Central Tax (Rate) and Notification No. 8/2021 Integrated Tax (Rate) dated (*2021 GST Notifications*)	30.09.2021
Electricity (Timely Recovery of Costs due to Change in Law) Rules, 2021	22.10.2021
MoP clarification on the Electricity (Timely Recovery of Costs due to Change in Law) Rules, 2021	21.02.2022
Tariff @ Rs. 2.37/kWh adopted by the Commission vide order in Petition No. 211/AT/2021 dated	08.03.2022
SCoD of the project as per PPA	27.01.2023

Revised SCoD by SECI as per the letter dated 23.08.2023	26.07.2023 *(extended to the actual date of LTA operationalization)*
CoD	Capacity / Date 54 MW / 23.03.2022 54 MW / 23.06.2022 54 MW / 09.08.2022 74 MW / 11.10.2022 64 MW / **24.11.2022**

6. The instant petition was filed on 17.01.2023 and listed for hearing on 16.05.2023, wherein the Commission, after hearing the submissions of the parties, admitted the petition. Based on the request of the parties, the Commission permitted the parties to file their respective written submissions. Pursuant to the directions of this Commission, SECI filed its Reply on 02.09.2023, while BRPL filed its reply on 30.11.2023. Subsequently, hearings were held on 28.11.2023 and 12.02.2024. During the hearing held on 12.02.2024, BRPL & BYPL sought an adjournment since the arguing counsel was not present, and BYPL also sought an adjournment for filing the reply. The Commission took a strong exception to such a casual approach of BYPL and allowed the prayer to upload its reply within a week at a cost of Rupees Ten Thousand. Subsequently, BYPL filed its response on 16.02.2024. During the hearing held on 08.07.2025, the parties made detailed submissions, and thereafter, the matter was reserved for order subject to the filing of written submissions (if any).

7. It is pertinent to mention here that BRPL filed an additional affidavit on 10.08.2025.

Submissions of the Petitioner:

8. Briefly, the Petitioner has made the following submissions:
   a) The Petitioner has executed a module supply agreement dated 30.07.2020 for the supply of solar modules for the Project (Module Supply Agreement) and also executed an Engineering, Procurement, and Supply Contract dated 20.11.2020 (EPC Contract) for the supply of balance of plant equipment along with associated services like erection, installation, commissioning and testing of SPGS.
   b) Prior to the GST Amendment Notifications, under the then prevalent notifications issued under the GST Laws, the specified renewable energy devices and parts for their manufacture, including SPGS were taxed at the rate of 5% in terms of Entry 234 provided

therein. Thus, the Petitioner's Module Supply Agreement would have carried a GST rate of 5%.

c) Further, previously, for composite contracts such as the EPC Contract in the present case, the GST rate applicable worked out to 8.9%. In this regard, the Explanation to Entry 234, Schedule I provided that where renewable energy goods including SPGS were supplied along with other goods and services, where one service involved construction or engineering or installation or other technical services provided in relation to setting up of renewable energy projects, 70% of the gross consideration of such contract value was taxed at 5% (i.e., GST rate applicable on the supply of specified renewable energy goods) and 30% of the gross consideration of contract value was taxed at 18% (i.e., the GST Rate applicable on the supply of construction, engineering, installation or other technical services in relation to renewable energy generating devices).

d) By the GST Amendment Notifications, Entry 234 provided in the erstwhile CGST and SGST rate schedules has been deleted. Instead, Entry 201A has been inserted in Schedule II of the CGST and SGST rate schedules, prescribing a total rate of 12% for specified renewable energy devices and their parts for manufacture including SPGS.

e) Further, an Explanation like that contained under the erstwhile Entry 234, Schedule I, dealing with composite EPC Contracts is also provided under Entry 201A. An identical provision is provided in the SGST rate schedule issued by the Government of Rajasthan.

f) With the issuance of the GST Amendment Notifications, the Petitioner is incurring additional expenditure in setting up the Project in the following manner:

   (i) The applicable rate of GST on the supply of modules under the Module Supply Agreement has increased from 5% to 12% of the value of such supplies;

   (ii) 70% of the gross consideration of the contract value under the EPC Contract will be taxed at 12% (i.e., in terms of entry 201A read with the Explanation provided therein being the GST rate applicable on the supply of SPGS); and

   (iii) 30% of the gross consideration of the contract value under the EPC Contract will be taxed at 18% (i.e., the GST rate applicable on the supply of construction, engineering, installation or other technical services in relation to SPGS).

g) In view thereof, the GST on the Module Supply Agreement has increased from 5% to 12%. Further, the GST Amendment Notifications have resulted in an increase in the effective tax rates under GST Laws from 8.9% earlier to 13.8% (on gross consideration) on the above EPC Contract with effect from 01.10.2022.

h) As per the computation, the estimated additional amount that will be incurred by the Petitioner in developing the SPGS on account of the issuance of the GST Amendment Notifications is approximately INR 58,21,84,341/- under both the Module Supply Agreement and the EPC Contract (i.e., INR 53.66 Cr. of principal and INR 4.54 Cr. towards carrying cost computed till 31.12.2022).

i) As the issuance of the GST Amendment Notifications has occurred after the cut-off date of 22.06.2020 provided under the PPA, the said event squarely attracts Article 12 of the PPA thereby entitling the Petitioner to Change in Law relief stipulated thereunder. Furthermore, the Petitioner duly issued a Change in Law notice apprising SECI of the aforesaid Change in Law event on 12.10.2021 (and also by a subsequent email dated 16.10.2021) i.e., within the 60 days stipulated under Article 12.3.1.

j) However, SECI vide letter dated 22.07.2022 has required the Petitioner to approach this Commission for seeking approval of Change in Law under the PPA. However, it is pertinent to note that SECI has not disputed that the Petitioner is entitled to be compensated for the increase in GST under the PPA.

Submissions of SECI:

9. SECI has submitted vide its reply dated 31.06.2023 as under:

Re: GST Notifications dated 30.09.2021

a) Article 8 of the PSAs dealing with Change in Law contains similar provision.

b) Article 12.1.3 of the PPA, inter-alia, provides that in regard to change in rates of Safeguard Duty, GST and Basic Custom Duty after 22.06.2020 (subject to provision in Article 12.2.6) having the effect of changing the project cost, such change will be treated as Change in Law subject to the Commission recognising such provision at the time of the adoption of tariff.

c) Since the notifications dated 30.09.2021 in regard to GST Laws were notified prior to Change in Law Rules (notified on 22.10.2021), these events shall be 'dealt in accordance with the prevalent dispensation/ rule position at the time of occurrence of the event' and not as per the Change in Law Rules 2021.

d) In view of the above development, it is necessary for the Commission to consider recognition of change in rate of GST claimed by the Petitioner under Article 12.1.3 effective from the date of order dated 08.03.2022 in Petition No.211/AT/2021 by which

the Commission has adopted the tariff. Change in GST rate after 22.06.2020 falls within the category mentioned in Article 12.1.3 of the PPA to be considered by this Commission at the time of adoption of tariff.

e) Accordingly, if there is supply of services in addition to supply of goods namely renewable energy devices in terms of the explanation, the Rajasthan Appellate Authority for Advance Ruling vide decision dated 11.01.2022 in the case of *M/s. Utsav Corporation* has clarified that if the Contract entered into by the Petitioner involves supply of Solar power based devices including carrying out the activity of erection, installation, commissioning of such system, it will fall under composite supply of works contract. In such a case,

   i. The value of goods is to be taken as 70% of the gross consideration of the contract value; and

   ii. The value of services is to be taken as 30% of the gross consideration of the contract value.

   The tax incidence on goods is at 12% and the services is at 18%. Accordingly, 12% will be applicable only on 70% of gross consideration charged and 18% on remaining 30% of the gross consideration.

f) The above explanation (contained in Table with reference to Serial No.201A) providing for 12% on 70% and 18% for 30% will apply only if it is a composite works contract and not otherwise. If, however, there are two separate contracts- one for supply of goods and one for services etc, the supply of goods will attract GST of 12% and supply of services will attract GST of 18%.

g) In case of composite works contract, subject to admissibility of Notification dated 30.09.2021 as Change in Law, any change in rate of GST which the Petitioner can claim as per Notification dated 30.09.2021 is only for the increase of GST from 5% to 12% on goods (which constitutes 70% of the gross consideration), there being no increase in tax on service part of 30% as per the said Notification.

h) In view of the above, subject to admissibility of notification dated 30.09.2021 as Change in Law, as per Notification dated 30.09.2021:

   i. The applicable rate of GST on the Contract for supply of goods has changed from 5% to 12%; and

   ii. 70% of the gross consideration of the contract value under the Contract for Supply and Services (Composite Supply Works Contract) will be taxed at 12% in terms

of entry 201A read with Explanation provided in Notification dated 30.09.2021 being the GST rate applicable on the supply of renewable energy devices and parts for their manufacture as specified therein. 30% of the gross consideration of the contract value under the contract for supply and services will be taxed at 18% (i.e. the GST rate applicable on the supply of construction, engineering, installation, commissioning or other technical services in relation to renewable energy devices). In the above case, the effective change in the GST Rate is from 8.9% to 13.8%.

Re. Requirement to furnish relevant documents and thereby establish one to one correlation

i) The Petitioner is required to establish a one to one correlation between the project, the supply of goods against which change in law is claimed, the invoices and other relevant documents for proof of the payment of claimed amount on account of change in law.

j) The extent to which relief is admissible to the Petitioner on account of GST Notifications dated 30.09.2021 (if any) is subject to examination and verification of documents by SECI, BYPL and BRPL to be submitted by the Petitioner.

Re. Cut-off date for payment of claim amount on account of GST

k) In the event of occurrence of any of events as provided under Article 12.1.1 or Article 12.1.3 which results in any increase/ decrease in the Project Cost, subject to the condition that such Change in Law is recognised by the Appropriate Commission, the compensation payment on account of such Change in Law shall be determined in terms of Article 12.2.3 of the PPA.

l) In Article 12 of the PPA, the relief for Change in Law has been specifically restricted to the Project cost. The Project cost has been defined as the cost incurred by the Petitioner for the supply and services in the Project concerned upto SCoD or extended SCoD (for reasons other than those wherein such extension is on account of payment of liquidated damages, penalty or any other charges as the case may be).

m) This Commission may be pleased to direct in the order granting recognition of the change in rate of GST after 22.06.2020 as claimed by the Petitioner.

Re. Methodology for payment of claim amount (if any) on account of change in law

n) The aspect of the methodology for payment of amount on account of Change in law need to be considered based on the decision of this Commission in regard to admissibility of the events claimed by the Petitioner as Change in Law within the scope of Article 12 of the PPA.

o) As per Article 12.1.3 of the PPA, the quantum of payment in respect of the evaluated change in law claims of the Petitioner, inter-alia, on account of change in rates of GST after 22.06.2020 shall be provided as per Article 12.2.3 of the PPA subject to fulfilment of conditions prescribed in Article 12.1.3.

p) The Commission may be pleased to take into consideration the above aspects in regard to the payment mechanism for the impact of alleged Change in Law events if held to be admissible to the Petitioner.

Re. Directions to the buying entities to make payment to SECI towards the reconciled change in law claims

q) If the events claimed by the Petitioner are considered as Change in Law and the impact is allowed to the Petitioner, the Commission may be pleased to issue directions to BRPL and BYPL (i.e. the procurers of power under the respective PSAs), to make payment towards the evaluated change in law claims payable by SECI to Petitioner, on a back to back basis as per Article 8.2.3 of the respective PSAs.

Re: Carrying cost

r) The Petitioner's claim for Carrying Cost is to be considered after the decision of the Commission on the admissibility of Notifications dated 30.09.2021 as Change in Law within the scope of Article 12 of the PPA read with Article 8 of the PSA.

s) As per Article 12 of the PPA, the aspect of applicability of Carrying Cost has to be determined and approved by the Commission after hearing the parties including the Buying Entities.

t) Without prejudice to the above, it is submitted that in any event, the Carrying Cost is to be restricted to the cost of financing of a prudent and efficient utility i.e. the interest rate at which such utility can borrow money from the lenders and financial institutions after due and sincere efforts to minimise the interest cost.

u) It is settled principle that in the matters of restitution, the courts should adopt pragmatic view and grant relief in a manner as may be reasonable, fair and practicable. It has been

held that the Court should not be oblivious of any unmerited hardship to be suffered by the party against whom action by way of restitution is taken.

v) The Petitioner should be required to establish to the satisfaction of the Commission that it has made prudent and bona-fide effort to minimise the interest cost.

w) With regard to reliance placed by the Petitioner on the Tribunal's decision dated 15.09.2022 passed in Appeal No.256 of 2019 and connected Appeals in the case of *Parampujya Solar Energy Pvt. Ltd. –v- Central Electricity Regulatory Commission* (Parampujya Case) for claiming carrying cost, SECI has submitted that in terms of the Orders dated 12.12.2022 and 23.01.2023 of the Hon'ble Supreme Court, the enforceability of the Commission's order to be passed in pursuance of Tribunal's decision dated 15.09.2022 in *Parampujya Case* has been stayed with regard to the issues of carrying cost, compensation on account of impact of Change in Law for the period post Commercial Operation Date of the projects and towards O&M expenses.

x) Without prejudice to the above submissions, it is submitted that carrying cost is different than the late payment surcharge payable in terms of Article 10.3.3 of PPA. The claim of carrying cost is based on principle of restitution and is completely different than penal rate of interest which is late payment surcharge payable on non-payment or default in payment of invoices by the Due Date.

Submissions of BRPL:

10. On 25.11.2023, BRPL in its reply submitted as under:

a) The Commission issued an order dated 08.03.2022 in Petition No. 211/AT/2021 filed by SECI for adoption of tariff of solar project including that the present petition herein (which was Respondent No. 8 in Petition No. 211/AT/2021). The Petitioner ought to have brought to the notice of the Commission regarding the change in law impact on the tariff to be adopted by the Commission owing to the notification dated 30.09.2021 of the Government of India, Ministry of Finance. Consequently, the Commission did not adopt the tariff considering the impact of the GOI Notification dated 30.09.2021.

b) Article 12.1.3 of the PPA dated 20.08.2021 signed between the Petitioner and SECI squarely provides that change in rates of safeguard duty, GST and basic customs duty after 22.06.2020 shall be treated as change in law *"subject to the provision that Appropriate Commission recognizes such provision at the time of adoption of tariff by the appropriate Commission and any decision in this regard shall governing on SPD and*

buying entity". The PPA between the Petitioner and SECI was entered into on 20.08.2021. The PSA was entered into between SECI and the Respondent DISCOM on 20.07.2021. The GOI Notification was issued on 30.09.2021. The Commission issued order on adoption on tariff on 08.03.2022. In terms of the Commission's order dated 08.03.2022 in Petition No. 211/AT/2021 (7) the generating company was mandated to, within thirty days of the coming into effect of the recovery of impact of change in law, furnish all relevant documents along with the details of calculation to the Commission for adjustment of the amount of the impact in the monthly tariff or charges. On that basis, the Commission was mandated to verify the calculation and adjust the amount of the impact in the monthly tariff or charges within sixty days from the date of receipt of *"all relevant documents along with the details of calculation"*. Yet, the petition has been filed by the present Petitioner belatedly on 17.01.2023. On the aforesaid ground alone, the present petition is liable to be dismissed with costs.

c) BRPL cannot be penalised for the Commission not adopting change in law tariff, taking into account any monetary claim based on verifiable documents on account of purported change in law claim. The answering Respondent cannot be penalised for the inordinate delay on the part of the Petitioner to file the present petition seeking change in law claim and carrying cost which is untenable.

d) In view of the above, the petition is liable to be dismissed.

<u>Submissions of the Petitioner vide common Rejoinder</u>:

11. Vide common Rejoinder dated 14.12.2023 to the replies dated 02.09.2023 and 25.11.2023 filed by SECI and BRPL, the Petitioner has reiterated its submissions already submitted in the plaint, as such, the same are not being reproduced herewith for the sake of brevity. However, additionally, the Petitioner has submitted as under:

a) BRPL has restricted its Reply to a singular issue i.e., that the Petitioner has delayed filing the present Petition in view of the directions of the Commission in Petition No. 211/AT/2021. The contentions of BRPL in this regard are wrong and denied and have been addressed in the subsequent paragraphs.

b) SECI has rightly pointed out in its reply that it had filed Petition No. 211/AT/2021 before the Commission for adoption of tariff in respect of projects under the Tranche IX Solar Scheme (of which the present PPA and Project are a part) wherein it had prayed for recognition of change in the rate of GST on supply of goods and services related to

SPGSs post 22.06.2020 as Change in Law in terms of Article 12.2 of the PPA.

c) However, the Commission vide order dated 08.03.2022 had not made such a recognition, relying upon *the Electricity (Timely Recovery of Costs due to Change in Law) Rules 2021* (CIL Rules, 2021), notified by the Ministry of Power (MoP) on 22.10.2021, wherein on occurrence of a Change in Law, the affected party (generator) and other parties (procurers) were required to settle the CIL claims among themselves and approach the relevant Commission only in terms of Rule 3(8) of the CIL Rules.

d) SECI has also pointed out that on 21.02.2022, the MoP issued a clarification to the CIL Rules 2021 stating that they were applicable only to Change in Law events that had occurred on or after the date of their notification in the Official Gazette i.e., 22.10.2021. Therefore, all Change in Law events which had occurred prior to 22.10.2021 would be dealt with in accordance with the prevalent dispensations under the PPAs.

e) While the order in Petition No. 211/AT/2021 states that the generator and procurer may settle the CIL claims among themselves in compliance with the CIL Rules 2021, the requirement relied upon by BRPL arises from the CIL Rules 2021 and not the aforementioned order. BRPL's reliance on the CIL Rules 2021 is erroneous as the said Rules are not applicable in the present case. Admittedly, the GST Amendment Notifications are dated 30.09.2021, whereas the CIL Rules 2021 came into existence on 22.10.2021.

f) The Petitioner had provided bona fide estimates of the monetary impact of the Change in Law event and had further craved leave to furnish details of actual expenditure at the time of reconciliation. The Commission in similar matters has consistently directed parties to carry out a reconciliation process to verify the actual expenditure incurred along with Carrying Cost by exhibiting clear one-to-one correlation between the Project and the invoices for supply of goods and services on which the Change in Law compensation is claimed.

g) The Petitioner has always been ready and willing to reconcile its Change in Law claims with SECI by providing all relevant documents including date of delivery of goods, invoices, date on which invoices were raised, etc.

h) The Petitioner is only claiming compensation against the monetary impact of the Change in Law event for the construction period up to the revised SCoD of 26.07.2023. The Petitioner has not claimed any compensation for the period after the revised SCoD, hence, the issue of cut-off date is not relevant and ought to be rejected.

i) The Petitioner has incurred an estimated additional expenditure of approximately INR 64,28,98,884/- on the development of the SPGS cumulatively under its Module Supply Agreement and the EPC Contract on account of issuance of the GST Amendment Notifications, of which INR 54,84,78,773/- is principal and INR 9,44,20,111/- is towards Carrying Cost computed till 31.07.2023.

j) SECI's obligations to the Petitioner under the PPA are completely independent of its rights against Respondent No. 2 and 3. Nowhere, Article 12 or Article 10 under the PPA, outlines SECI's obligation to make payments to the Petitioner subject to its right to recover corresponding dues from Respondent No. 2 and 3.

k) As per the PPA, SECI's liability to compensate the Petitioner for the additional expenditure incurred by it and reflected in tariff, is independent of SECI's ability to enforce its rights under the PSA against the procurers. SECI's obligations under the PPA with the Petitioner are not back-to-back or interconnected with its PSAs with Respondent No. 2 and 3.

l) SECI has not contested or denied the Petitioner's entitlement to recovery of Carrying Cost incurred by it in discharging the additional burden of the GST Amendment Notifications on the Project. SECI has merely stated that the decision on Carrying Cost would be subject to admissibility of the Change in Law claim.

m) As regards the rate of interest, SECI has contended that Carrying Cost is to be restricted to the cost of financing of a prudent utility and that the Commission should adopt a pragmatic view. SECI has further contended that Carrying Cost cannot be equated with a penal rate of interest i.e., late payment surcharge (LPS) payable in terms of Article 10.3.3 of the PPA. The contention of SECI in this regard is without any basis whatsoever. The LPS provision under the PPA is meant for compensation towards time value for money on account of delayed payments. Further, once the carrying costs have been awarded by the Commission, a prayer of it being calculated on a simple interest basis cannot be accepted. The Commission may award Carrying Cost against the additional expenditure incurred by the Petitioner on account of the GST Amendment Notifications at the rate of LPS set out in Article 10.3.3 and on compounded basis.

Submissions of the BYPL:

12. Vide Reply dated 16.02.2024, BYPL has reiterated the submissions already submitted by BRPL, as such, the same are not being reproduced herewith for the sake of brevity.

Submissions of the Petitioner to the reply of BYPL:

13. Vide Affidavit dated 07.03.024, the Petitioner has submitted that the contents of the common Rejoinder filed by the Petitioner on 18.12.2023 be read as the Petitioner's response to contentions and objections raised by BYPL in its reply dated 16.02.2024.

Written Submissions of the Petitioner:

14. Vide Written Submissions dated 23.07.2025, the Petitioner has reiterated the submissions already submitted in the pleadings; as such, the same are not being reproduced herewith for the sake of brevity.

Additional Affidavit of BRPL:

15. Vide additional affidavit dated 31.07.2025, BRPL has submitted that the Petitioner has not provided the documents (such as contract copy, invoices, Bill of Entry, duty paid receipt, etc) supporting the claim amount. In the total import cost, the Petitioner has also included the cost increase due to the Foreign exchange rate change. This is not a change in law. Further, the Petitioner has to establish a one-to-one correlation between the CIL cost increase and the bid cost to claim. These submissions are in addition to the reply filed by the answering Respondent.

Analysis and Decision:

16. We have heard the learned counsels for the Petitioners and the Respondents, carefully perused the records, and considered the submissions of the parties.

17. On the basis of the submissions of the contracting parties, the following issues arise for adjudication:

    Issue No. I: *Whether introduction of Notification No. 8/2021 Central Tax (Rate) and Notification No. 8/2021 Integrated Tax (Rate) dated 30.09.2021 by the Ministry of Finance, Government of India and Notification No. 8/2021 State Tax (Rate) by the Department of Finance, Government of Rajasthan amounts to Change in Law events under Article 12 of the Power Purchase Agreement dated 20.08.2021?*

    Issue No. II: *Whether the Petitioner is entitled to carrying cost towards compensation for the Change in Law?*

18. Before going to the main issue, we feel it is pertinent to deal with the preliminary issues raised by BRPL & BYPL. BRPL & BYPL have argued that the Change in Law claim is not admissible for the following reasons:

a) BRPL & BYPL have submitted that the Commission issued an order dated 08.03.2022 in Petition No. 211/AT/2021. The Commission did not adopt the tariff considering the impact of the GOI Notification dated 30.09.2021.

b) The generating company was mandated to furnish all relevant documents along with the details of calculation to the Commission for adjustment of the amount of the impact in the monthly tariff or charges within thirty days. The Commission was to verify the calculation and adjust the amount of the impact in the monthly tariff or charges within sixty days.

c) The petition has been filed by the present Petitioner belatedly on 17.01.2023.

d) The Respondents cannot be penalized for the Commission not adopting a Change in law tariff, taking into account any monetary claim based on verifiable documents on account of a purported change in law claim.

19. We observe that vide order dated 08.03.2022 in Petition No. 211/AT/2021, it was held as under:

.....The Petitioner has made the following prayers:

(a) Adopt the tariff discovered in the tariff based competitive bid process for the individual power projects as stated in Table-1 at Paragraph 8 (iv) above on the terms and conditions contained in the Power Purchase Agreements entered/ to be entered into with the Respondent Nos.2 and 8 read with the Power Sale Agreements executed with Respondent Nos. 9 and 10;

(b) Approve Trading Margin of Rs.0.07/kWh as agreed to by the Distribution Companies in the signed PSAs in terms of Regulation 8 (1) (d) of the Trading License Regulations, 2020; and

(c) Recognize, in terms of Article 12.2 of the PPAs and Article 8.2 of the PSAs, that the change in rates of Safeguard Duty, GST and Basic Customs Duty after 22.06.2020, if any, will be considered as Change in Law subject to the fulfilment of the conditions contained therein.*"*

…

11. SECI vide its rejoinder to the reply filed by the Respondent No.3, AGEPL has submitted as under:

…

(g) In the present case, the consideration is to be restricted to the aspect of the recognition of the above mentioned four events as Change in Law within the

scope of Article 12 of the PPAs, while adopting the tariff discovered through competitive bidding. However, the recognition of Basic Custom Duty on Solar Modules and Cells as a Change in Law event shall be subject to issuance of appropriate notification by Ministry of Finance, Government of India. The power developers are not entitled to claim consideration of any other aspects. The actual impact and the extent of relief admissible for the above-mentioned Change in Law events is to be determined at the appropriate stage as decided by APTEL in its order dated 12.10.2021 in Appeal No. 251 of 2021.

(h) During the pendency of the above Petition, the Central Government, in exercise of powers under Section 176 of the Act, has on 22.10.2021 notified the Electricity (Timely Recovery of Costs due to Change in Law) Rules, 2021 (hereinafter referred to as "the Change in Law Rules"). Rule 3 of the Change in Law Rules provides for the manner of dealing with the Change in Law and consequential effect to be given. *Further, the Commission in its order dated 21.12.2021 in Petition No. 179/AT/2021 has, inter alia, dealt with the Change in Law Rules and the aspect of recognition of the Change in Law events at the stage of adoption of tariff.*

…

15. The Respondent No. 4, ERBPL vide its written submissions dated 4.2.2022 has additionally submitted as under:

…

(f) While it has been admitted by the Petitioner that the Change in Law Rules provide for adjustment in tariff on occurrence of Change in Law and specifically entitle the affected party to be restored to the same economic position as if such Change in Law event had not occurred, the Respondent's entitlement for the carrying cost flows from Clause 5.7 of the Guidelines.

(g) The submission of SECI that since the Change in Law Rules provide for grant of carrying cost, therefore, there is no requirement of a specific clause in the PPA/ standard PPA to that effect, may not be legally tenable insofar as ***the definition of "Change in Law" in Rule 2(1)(c) of the Change in Law Rules specifically excludes cases where "Change in Law" is already defined in the PPA executed between the parties. A perusal of the said provision makes it clear that even if the Change in Law Rules are applicable on the Respondent generators, the definition of "Change in Law" may flow from the provisions of the PPA only. As such, it is imperative that the principle of restitution be enshrined in clear terms in Article 12 of the standard PPA.*** *Further, considering that life of the PPA is 25 years, there may arise a situation where the Change in Law Rules are amended/ repealed and as such, it cannot be stated with certainty that the Change in Law Rules will remain applicable for the entire duration of the PPA.*

…

74. However, with regard to prayer of the Petitioner to recognize the Change in Law provisions of the PPAs/ PSAs, we note that Ministry of Power, Government of India has notified the Change in Law Rules, which provide as under:

"2(c) "change in law", in relation to tariff, unless otherwise defined in the agreement, means any enactment or amendment or repeal of any law …

…

75. ***The Change in Law Rules have been framed to facilitate timely recovery of costs due to Change in Law events and to provide a process and methodology to be followed. As per the provisions of the Change in Law Rules, on occurrence of a Change in Law, the affected party (generator) and other parties (procurers) are to settle the Change in Law claims among themselves and approach the Commission only in terms of Rule 3(8) of the Change in Law Rules.***

20. We observe that MoP has issued clarification to CIL Rules, 2021 vide Notification No. 23/18/2020 -R&R dated 21.02.2022, which mandates as under:

Subject: Clarification on Electricity (Timely Recovery of Costs due to Change in Law) Rules, 2021.

…

2. The matter has been examined in this Ministry and the following is clarified with respect to the applicability of the Electricity (Timely Recovery of Costs due to Change in Law) Rules, 2021:

i. The Electricity (Timely Recovery of Costs due to Change in Law) Rules, 2021 were notified by Ministry of Power, vide notification dated 22nd October, 2021 in Gazette of India. As per sub-rule (2) of Rule 1, these Rules shall come into force on the date of their publication in the Official Gazette. These Rules have not stated to have been given any retrospective operation.

ii. The aforesaid Rules are applicable on the change in law events occurred on or after the date of notification of these Rules in the Official Gazette i.e. 22nd October, 2021. ***The change in law events occurred prior to the notification of these Rules shall be dealt in accordance with the prevalent dispensation /rule position at the time of occurrence of the event.***

iii. The proceedings in the petitions, related to change in law matters, pending before the Appropriate Commissions, shall be dealt in accordance with stipulations made in para (ii) above.

21. We observe that APTEL vide its judgment dated 05.04.2022 in O.P. No. 1 of 2022 and Appeal Nos. 116, 74, 75 & 76 of 2022, has held as under:

"72. For the foregoing reasons, ***we find the impugned orders of the Central Commission applying the CIL Rules to matters pending before it for adjudication under Section 79(1)(f) of Electricity Act on the date of coming into force of said rules wholly erroneous, improper and bad in law.*** *The said orders are thus set aside. In the result, the proceedings in claim cases (in which impugned orders were passed – and that includes the orders dated 04.02.2022 in the Original Petitions) remain inchoate.* ***The Central Commission is duty-bound to consider each of them on the merits of the claims and adjudicate in accordance with law on the dispute(s) in proper exercise of its jurisdiction under Section 79 of the Electricity Act. It is directed to proceed to do so expeditiously.***

22. From the above, we observe that in petition no. 211/AT/2021, the contracting parties themselves submitted that during the pendency of 211/AT/2021, on 22.10.2021, the Central Government had notified *the Electricity (Timely Recovery of Costs due to Change in Law) Rules, 2021* (CIL Rules, 2021). Rule 3 of the CIL Rules, 2021 provides for the manner of dealing with the Change in Law and the consequential effect to be given. Accordingly, the Commission held that the contracting parties are to settle the Change in Law claims among themselves and approach the Commission only in terms of Rule 3(8) of the Change in Law Rules. We observe that on 21.02.2022, MoP provided clarification on the CIL Rules, 2021, stating that changes in law events occurring prior to the notification of the CIL Rules, 2021, shall be dealt with in accordance with the prevailing dispensation/ rule position at the time of the event's occurrence. Also, APTEL vide its judgment dated 05.04.2022 has held that applying the CIL Rules, 2021 to matters pending for adjudication under Section 79(1)(f) of the Electricity Act on the date of coming into force of said rules is bad in law. Further, the Commission is duty-bound to consider each of them on the merits of the claims and adjudicate in accordance with the law.

23. We observe that 211/AT/2021 was the petition for adoption of tariff, whereas in the instant petition, the Petitioner is seeking relief on account of a Change in Law, viz., increase in the rate of Goods and Services Tax. While going into the merit of the petition, we note that the bid was submitted by the Petitioner on 22.06.2020. The LoA was issued by SECI on 15.07.2020, and the PPA was executed on 20.08.2021. Further, the Notification No. 8/2021 Central Tax (Rate) and Notification No. 8/2021 Integrated Tax (Rate) by the Ministry of Finance, Government of India, and Notification No. 8/2021 State Tax (Rate) by the Department of Finance, Government of Rajasthan (*2021 GST Notifications*) were issued on 30.09.2021 whereas, CIL Rules were notified on 22.10.2021. We are of the view that since the *2021 GST Notifications* were issued prior to the CIL Rules, 2021 the change in law claims are to be dealt in accordance with the prevalent rule position as contained in the PPA dated 20.08.2021. Hence, we hold that the above contention of BRPL/BYPL is untenable.

24. We now take issues one by one for discussion.

Re. Issue No. I:

Whether introduction of Notification No. 8/2021 Central Tax (Rate) and Notification No. 8/2021 Integrated Tax (Rate) dated 30.09.2021 by the Ministry of Finance, Government of India and Notification No. 8/2021 State Tax (Rate) by the Department of Finance, Government of Rajasthan amounts to Change in Law events under Article 12 of the Power Purchase Agreement dated 20.08.2021?

25. The Petitioner has submitted that it has incurred an estimated additional expenditure of approximately INR 64,28,98,884/- on the development of the SPGS cumulatively under its Module Supply Agreement and the EPC Contract on account of issuance of *2021 GST Notifications*, of which INR 54,84,78,773/- is principal and INR 9,44,20,111/- is towards Carrying Cost computed till 31.07.2023. The Commission may allow relief on account of a change in law event under Article 12 of the PPA dated 20.08.2021. *Per contra,* SECI has submitted that since the notifications dated 30.09.2021 in regard to GST Laws were notified prior to Change in Law Rules (notified on 22.10.2021), accordingly, these events shall be 'dealt in accordance with the prevalent dispensation/rule position at the time of occurrence of the event' and not as per the Change in Law Rules 2021. However, the Petitioner is required to establish a one-to-one correlation between the project, the supply of goods, the invoices, and other relevant documents to prove the payment of the claimed amount due to the change in law. In Article 12 of the PPA, the relief for Change in Law has been specifically restricted to the project cost which is the cost incurred by the Petitioner for the supply and services in the project concerned upto SCoD or extended SCoD (for reasons other than those wherein such extension is on account of payment of liquidated damages, penalty or any other charges as the case may be). The Commission may direct in the order granting recognition of the change in rate of GST after 22.06.2020, as claimed by the Petitioner. If the Change in Law compensation is allowed to the Petitioner, then the Commission may issue directions to BRPL and BYPL (i.e. the procurers of power under the respective PSAs), to make payment towards the evaluated change in law claims payable by SECI to Petitioner, on a back to back basis.

26. We observe that the relevant Articles of the PPA dated 20.08.2021 stipulate as under:

> *"**Law**" shall mean in relation to this Agreement all laws in force in India including Electricity Laws of India and any statute, ordinance, regulation, notification or code, rule, or any interpretation of any of them by an Indian Governmental Instrumentality and having force of law and shall further include without limitation all applicable rules, regulations, orders, notifications by an Indian Governmental Instrumentality pursuant to or under any of them and shall include without limitation all rules, regulations, decisions and orders of the Appropriate Commissions;*
>
> …

ARTICLE 12: CHANGE IN LAW

12.1 Definitions

In this Article 12, the following terms shall have the following meanings:

12.1.1 In this Article 12, the term Change in Law shall refer to the occurrence of any of the following events pertaining to this project only after 22.06.2020 including (i) the enactment of any new law; or (ii) an amendment, modification or repeal of an existing law; or (iii) the requirement to obtain a new consent, permit or license; or (iv) any modification to the prevailing conditions prescribed for obtaining an consent, permit or license, not owing to any default of the Solar Power Developer; or ***(v) any change in the rates of any Taxes including any duties and cess or introduction of any new tax made applicable for setting up the solar power project and supply of power from the Solar Power project by the SPD which have a direct effect on the Project.***

However, Change in Law shall not include (i) any change in taxes on corporate income or (ii) any change in any withholding tax on income or dividends distributed to the shareholders of the SPD.

12.1.3 ***However, in case of change in rates of safeguard duty, GST and basic customs duty after 22.06.2020 and resulting in change in Project Cost, then such change will be treated as 'Change in Law' and the quantum of compensation payment on account of change in rates of such duties and shall be provided to the affected party by the other party as per Article 12.2.3****, subject to the provision that Appropriate Commission recognizes such provisions at the time of adoption of tariff by the Appropriate Commission and any decision in this regard shall be governing on SPD and Buying Entity.*

12.2 Relief for Change in Law

12.2.1 Save and except as provided under Article 12.1.3, the aggrieved Party shall be required to approach the Hon'ble CERC for seeking approval of Change in Law.

12.2.2 The decision of the Hon'ble CERC to acknowledge a Change in Law and the date from which it will become effective, provide relief for the same, shall be final and governing on SPD and Buying Entity.

12.2.3 In case of Change in Law as approved by the Appropriate Commission pursuant to Article 12.2.1 or as provided under Article 12.1.3, the SPD/ SECI/ Buying Entities (as the case may be) shall be entitled for relief as follows:

Every net increase/decrease of Rs. l lakh per MW in the Project Cost (i.e. cost incurred by the SPD for the supply and services in the Project concerned, upto Schedule Commissioning Date or extended Schedule Commissioning Date, for reasons other than those wherein such extension is on account of payment of liquidated damages, penalty or any other charges, as the case may be), shall be liable for corresponding increase/decrease of an amount equal to Rs 0.005 /kWh.

Any such change, shall be considered upto three digits after the decimal point, and remaining digits, if any, shall be ignored.

For e.g. in case the change in tariff payable is calculated as Rs. 0.14678/kWh, it shall be modified as Rs. 0.146/kWh.

12.3 Notification of Change in Law

12.3.1 If the SPD is affected by Change in Law in accordance with Article 12 and wishes to claim a Change in Law under this Article, it shall give notice to the SECI and Buying Utility (s) of such Change in Law as soon as reasonably practicable (but no later than 60 days from the date of occurrence of such Change in Law).

12.3.2 Any notice service pursuant to this Article 12.3.1 and 12.1.3, shall provide, amongst other things, precise details of the Change in Law and its effect on the Project Cost, supported by documentary evidences including Statutory Auditor Certificate to this effect so as to establish one to one correlation and its impact on the Project Cost."

Notifications regarding rates *qua* Goods:

27. We observe that the relevant notifications are as under:

a) Notification No.1/2017-Central Tax (Rate) dated 28.06.2017 (*2017 CGST Notification)*:

Schedule I - 2.5%

Sr. No.	***Chapter/ Heading/ /Sub-heading/ Tariff-item***	***Description of Goods***
234	*84 or 85*	*Following renewable energy devices & parts for their manufacture:* *(a) Bio-gas plant;* *(b) Solar power-based devices;* *(c) Solar power generating system;* *(d) **Wind mills, Wind Operated Electricity Generator (WOEG)**;* *(e) Waste to energy plants/ devices;* *(f) Solar lantern/ solar lamp;* *(g) Ocean waves/ tidal waves energy devices/ plants;*

(The 2017 SGST Notification has similar provision. For the sake of brevity, same is not reiterated here.)

b) Notification No. 8/2021- Central Tax (Rate) dated 30.09.2021 *i.e. 2021 CGST Notifications* stipulate as under:

*(b**) in Schedule II – 6%, -***

…

(iv) after S. No. 201 and the entries relating thereto, the following S. No. and entries shall be inserted, namely: -

201 A	*84, 85 or 94*	*Following renewable energy devices & parts for their manufacture: -* *(a) Bio-gas plant* *(b) Solar power-based devices* *(c) Solar power generating system* *(d) **Wind mills, Wind Operated Electricity Generator (WOEG)*** *(e) Waste to energy plants/ devices* *(f) Solar lantern/ solar lamp* *(g) Ocean waves/tidal waves energy devices/ plants* *(h) Photo voltaic cells, whether or not assembled in modules or made up into panels.* *[Explanation: If the goods specified in this entry are supplied, by a supplier, along with supplies of other goods and services, one of which being a taxable service specified in the entry at S. No. 38 of the Table mentioned in the notification No. 11/2017-Central Tax (Rate), dated 28th June, 2017 [G.S.R. 690(E)], the value of supply of goods for the purposes of this entry shall be deemed as seventy per cent. of the gross consideration charged for all such supplies, and the remaining thirty per cent. of the gross consideration charged shall be deemed as value of the said taxable service.*

(The Notification No. [F.12(1) FD/Tax/2021-60] has similar provision. The same is not being reiterated here.)

Notifications regarding rates qua Services:

28. We note that relevant notifications are as under:

a) ***Notification No. 11/2017*** inter-alia, stipulates as under*:*

S. No.	***Chapter, Section or Heading***	***Description of Service***	***Rate (per cent.)***	***Condition***
(1)	*(2)*	*(3)*	*(4)*	*(5)*
....	....	....	...	....
3	*Heading 9954 (Construction services)*	*(i) Construction of a complex, building, civil structure or a part thereof, including a complex or building intended for sale to a buyer, wholly or partly, except where the entire consideration has been received after issuance of completion certificate, where required, by the competent authority or after its first occupation, whichever is earlier.* *(Provisions of paragraph 2 of this notification shall apply for valuation of this service.)*	*9*	-
		(ii) composite supply of works contract as defined in clause 119 of section 2 of Central Goods and Services Tax Act, 2017.	*9*	-
		(iii) construction services other than (i) and (ii) above.	*9*	-

b) The 31st GST Council Meeting was convened on 22.12.2018. The recommendations made in the GST Council are as under:

"….

- ***III. GST on solar power generating plant and other renewable energy plants***
- *GST rate of* 5% *rate has been prescribed on renewable energy devices & parts for their manufacture (bio-gas plant/solar power based devices, solar power generating system (SGPS) etc) [falling under chapter 84, 85 or 94 of the Tariff].*

Other goods or services used in these plants attract applicable GST

- ***Certain disputes have arisen regarding GST rates where specified goods attracting 5% GST are supplied along with services of construction etc. and other goods for solar power plant.***
- ***To resolve the dispute the Council has recommended that in all such cases, the 70% of the gross value shall be deemed as the value of supply of said goods attracting 5% rate and the remaining portion (30%) of the aggregate value of such EPC contract shall be deemed as the value of supply of taxable service attracting standard GST rate."***

c) **Notification No. 27/2018:**

(1)	*(2)*	*(3)*	*(4)*	*(5)*
"38.	*9954 or 9983 or 9987*	*Service by way of construction or engineering or installation or other technical services, provided in relation of setting up of following, -* *(a) Bio-gas plant* *(b) Solar power-based devices* *(c) Solar power generating system* *(d) Wind mills, Wind Operated Electricity Generator (WOEG)* *(e) Waste to energy plants/ devices* *(f) Ocean waves/tidal waves energy devices/plants* ***Explanation**:- This entry shall be read in conjunction with serial number 234 of Schedule I of the notification No. 1/2017- Central Tax (Rate)**, published in the Gazette of India, Extraordinary, Part II, Section 3, Sub-section (i) dated 28th June, 2017 vide GSR number 673(E) dated 28th June, 2017.*	*9*	*-";*

d) **Notification No. 24/2018:**

"…….
against S. No. 234, in the entry in column (3), the following Explanation shall be inserted in the end, namely: -"Explanation: If the goods specified in this entry are supplied, by a supplier, along with supplies of other goods and services, one of which being a taxable service specified in the entry at S. No. 38 of the Table mentioned in the notification No. 11/2017-Central Tax (Rate), dated 28th June, 2017 [G.S.R. 690(E)], ***the value of supply of goods for the purposes of this entry shall be deemed as seventy per cent. of the gross consideration charged for all such supplies, and the remaining thirty per cent. of the gross consideration charged shall be deemed as value of the said taxable service."***

e) The Rajasthan Appellate Authority for Advance Ruling vide its decision dated 11.01.2022 in the case of *M/s. Utsav Corporation Gurjar ki Thadi, Jaipur*, has held as under:

In drawing our conclusions as above, we have based our findings upon the ruling dated 15.05.2019 given by the Rajasthan Appellate Authority for Advance Ruling in the case of Kailash Chandra (Proprietor of Mali Construction) involving similar situation. The Advance Ruling Authority in the instant case had held that the instant

supply comprising supply of goods in the form of solar energy based bore well water pumping system along with installation and commissioning of such Water pumping system is a composite supply of works contract attracting GST @ 18% in terms of entry Sl. No. 3 of Notification No. 11/2017-Central Tax (Rate), dated 28.06.2017. However, the ruling that the composite supply .of goods and services in the instant case deserves to be classified as works contract service is not supported by legal position which has been correctly interpreted by the Authority for Advance Ruling for the State of Uttarakhand in the case of M/s Premier Solar Systems Pvt. Limited as reported at 2019-T10L-79-AAR-GST by holding that the supply of solar irrigation water pumping system along with design, erection, commissioning and installation would constitute a composite supply attracting GST @ 5% on goods portion and GST @ 18% on services portion as prescribed in the relevant entry of the notification.

Thus, we observed that the effective rate of GST on supply of Goods and Services in relation to the Solar Power Based Devices upto 30.09.2021 is as follows:-

(a) 5% on value of goods where the value of goods is to be taken as 70% of the gross consideration and

(b) 18% on the value of services where the value of services is to be taken as 30% of the gross consideration.

Hence, the effective rate of GST for the composite supply will work out to 8.9% [(5% x 70%) plus (18% x 30%)]. However, with the amendments effected vide Notification No. 06/202I-Central Tax(rate) dated 30.09.2021 and Notification No. 08/2021-Central Tax (rate) dated 30.09.2021, the rate of tax on goods, portion stands increased from 5% to 12% and accordingly, the effective rate of GST for the period post 30.09.2021 will stand increased to that extent.

29. From the pleadings, the Commission notes that the Petitioner had executed Module Supply Agreement on 30.07.2020 and EPC contract on 20.11.2020. The Petitioner has also executed composite contract with *Siemens Gamesa Renewable Power Private Limited* dated 24.11.2022 for 64 MW.

30. We observe that Clause (v) of Article 12 of the PPA dated 20.08.2021, in seriatim, stipulates explicitly that *any change in the rates of any Taxes including any duties and cess or introduction of any new tax made applicable for setting up the solar power project and supply of power from the Solar Power project by the SPD which have a direct effect on the Project.* The change in rates of any taxes includes change in rates of taxes, duties & cess is a Change in Law event. *The Notification No. 8/2021- Central Tax (Rate) dated 30.09.2021* has been issued by the Ministry of Finance, Government of India whereas the *Notification No. 8/2021 State Tax (Rate)* has been issued by the Department of Finance, Government of Rajasthan. The change in rate of Goods and Services Tax from 5% to 12% w.e.f. 01.10.2021 has resulted in a

change in the cost of the inputs required for generation, and the same is considered a 'Change in Law'. Hence, we hold that the impugned notifications, viz. *2021 GST Notifications* are a Change in Law event as per Article 12 of the PPA dated 20.08.2021. It is pertinent to mention here that the view taken is consistent with similar orders issued by the Commission, viz. *order dated 19.05.2024 in Petition No. 138/MP/2023; order dated 14.03.2024 in Petition No. 65/MP/2023; order dated 16.01.2024 in Petition No. 308/MP/2022 order dated 05.04.2023 in Petition No. 268/MP/2021; order dated 05.04.2023 in Petition No. 216/MP/2022 and order dated 21.04.2023 in Petition No. 219/MP/2022; order dated 17.05.2023 in Petition No. 174/MP/2022; order dated 20.07.2023 in Petition No. 273/MP/2021.*

31. We further note that the GST at the rate of 18% was levied (i.e., 9% of CGST and 9% of SGST) on such service contracts, in terms of Ministry of Finance's Notification No. 11/2017-Central Tax (Rate) dated 28.06.2017. *Notification No. 27/2018* stipulates a composite tax structure of 8.9% [i.e. 5% on 70% of the consolidated taxable value of contracts + 18% on 30% of the consolidated taxable value of the contracts]. Subsequently, vide *Notification No. 24/2018* against S. No. 234, for solar power generating stations, if the goods are supplied by a supplier, along with supplies of other goods and services being a taxable service, specified the taxable value of supply of goods is deemed to be *seventy per cent* and the remaining *thirty per cent* is deemed to be value of the taxable service. Hence, there is a change in the methodology of application of the rates of GST due to which the Petitioner had to incur additional costs**.** We note that Notification No. 8/2021- Central Tax (Rate) dated 30.09.2021, the applicable rate of GST on the contract for the supply of goods has changed from 5% to 12%, whereas 70% of the gross consideration of the contract value under the Contract for Supply and Services (Composite Supply Works Contract) is to be taxed at 12% in terms of entry 201A read with Explanation provided in Notification No. 8/2021- Central Tax (Rate) dated 30.09.2021. 30% of the gross consideration of the contract value under the contract for supply and services will be taxed at 18% (i.e. the GST rate applicable on the supply of construction, engineering, installation, commissioning or other technical services in relation to renewable energy devices). Hence, the effective change in GST in the above case is 4.9 %, i.e. from 8.9% to 13.8%.

32. In the instant petition, the bid was submitted by the Petitioner on 22.06.2020. The e-Reverse auction was conducted on 30.06.2020. PPA was executed between the Petitioner and SECI on 20.08.2021, and the SCoD of the project was on 27.01.2023, which was later revised by SECI

vide its letters dated 23.08.2023 to 26.07.2023. The Petitioner commissioned the full capacity of its project on 24.11.2022, whereas the *2021 GST Notifications* was notified on 30.09.2021. As such, Petitioner's project was affected by the impugned *2021 GST Notifications* and is entitled to relief under the GST Laws as per the terms of Article 12 of the PPA dated 20.08.2021. In view of the above discussion, we hold that Petitioner is entitled to compensation towards additional expenditure on account of the *2021 GST Notification* as per Article 12 of the PPA.

32. We observe that Article 12.2.3 of the PPA dated 20.08.2021 stipulate as under:

> *12.2.3 In case of Change in Law as approved by the Appropriate Commission pursuant to Article 12.2.1 or as provided under Article 12.1.3, the SPD/ SECI/ Buying Entities (as the case may be) shall be entitled for relief as follows:*
>
> ***Every net increase/decrease of Rs. l lakh per MW in the Project Cost (i.e. cost incurred by the SPD for the supply and services in the Project concerned, upto Schedule Commissioning Date or extended Schedule Commissioning Date, for reasons other than those wherein such extension is on account of payment of liquidated damages, penalty or any other charges, as the case may be), shall be liable for corresponding increase/decrease of an amount equal to Rs 0.005 /kWh.***
>
> *Any such change, shall be considered upto three digits after the decimal point, and remaining digits, if any, shall be ignored.*
>
> *For e.g. in case the change in tariff payable is calculated as Rs. 0.14678/kWh, it shall be modified as Rs. 0.146/kWh.*

33. In view of the above, we hold that the Petitioner is entitled to compensation towards additional expenditure on account of the *2021 GST Notifications* as per Article 12 of the PPA dated 20.8.2021. The compensation is to be effected as per Article 12.2.3 of the PPA dated 20.08.2021. Accordingly, the Commission hereby directs the contracting parties to carry out the reconciliation of additional expenditure by exhibiting clear and one-to-one correlation with the projects and the invoices raised supported with auditor certificate corresponding to the mutually agreed project capacity under PPA dated 20.08.2021, which is valid.

34. The issue is decided accordingly.

Re. Issue No. II:

Whether the Petitioner is entitled to carrying cost/interest towards compensation for the Change in Law?

35. The Petitioner has submitted that it has incurred INR 9,44,20,111/- is towards Carrying Cost computed till 31.07.2023. Per-contra, SECI has submitted that as per Article 12 of the PPA dated 20.08.2021, the aspect of applicability of Carrying Cost has to be determined and approved by the Commission after hearing the parties including the Buying Entities.

36. We observe that Article 12 of the PPA dated 20.08.2021 stipulates as under:

ARTICLE 12: CHANGE IN LAW

12.1 Definitions

In this Article 12, the following terms shall have the following meanings:

12.1.1 In this Article 12, the term Change in Law shall refer to the occurrence of any of the following events pertaining to this project only after 22.06.2020 including (i) the enactment of any new law; or (ii) an amendment, modification or repeal of an existing law; or (iii) the requirement to obtain a new consent, permit or license; or (iv) any modification to the prevailing conditions prescribed for obtaining an consent, permit or license, not owing to any default of the Solar Power Developer; or ***(v) any change in the rates of any Taxes including any duties and cess or introduction of any new tax made applicable for setting up the solar power project and supply of power from the Solar Power project by the SPD which have a direct effect on the Project.***

However, Change in Law shall not include (i) any change in taxes on corporate income or (ii) any change in any withholding tax on income or dividends distributed to the shareholders of the SPD.

12.1.3 ***However, in case of change in rates of safeguard duty, GST and basic customs duty after 22.06.2020 and resulting in change in Project Cost, then such change will be treated as 'Change in Law' and the quantum of compensation payment on account of change in rates of such duties and shall be provided to the affected party by the other party as per Article 12.2.3****, subject to the provision that Appropriate Commission recognizes such provisions at the time of adoption of tariff by the Appropriate Commission and any decision in this regard shall be governing on SPD and Buying Entity.*

12.2.3 In case of Change in Law as approved by the Appropriate Commission pursuant to Article 12.2.1 or as provided under Article 12.1.3, the SPD/ SECI/ Buying Entities (as the case may be) shall be entitled for relief as follows:

Every net increase/decrease of Rs. l lakh per MW in the Project Cost (i.e. cost incurred by the SPD for the supply and services in the Project concerned, upto Schedule Commissioning Date or extended Schedule Commissioning Date, for reasons other than those wherein such extension is on account of payment of liquidated damages, penalty or any other charges, as the case may be), shall

be liable for corresponding increase/decrease of an amount equal to Rs 0.005 /kWh.

Any such change, shall be considered upto three digits after the decimal point, and remaining digits, if any, shall be ignored.

For e.g. in case the change in tariff payable is calculated as Rs. 0.14678/kWh, it shall be modified as Rs. 0.146/kWh.

37. From the above, we observe that the PPA dated 20.08.2021 does not contain the restitution clause.

38. APTEL, vide judgment dated 15.09.2022 in A.No. 256 of 2019 & Batch titled as *Parampujya Solar Energy Private Limited &Ors. vs. CERC & Ors.* held as under:

> **…….**
> *109.The other captioned appeals – Appeal no. 256 of 2019 (Parampujya Solar Energy Pvt. Ltd &Anr. v. CERC &Ors.), Appeal no. 299 of 2019 (Parampujya Solar Energy Pvt. Ltd. v. CERC &Ors.), Appeal no. 427 of 2019 (Mahoba Solar (UP) Private Limited v. CERC &Ors.), Appeal no. 23 of 2022 (Prayatna Developers Pvt. Ltd. v. CERC &Ors.) Appeal no. 131 of 2022 (Wardha Solar (Maharashtra) Private Ltd. &Anr. v. CERC &Ors.) and Appeal no. 275 of 2022 (Parampujya Solar Energy Pvt. Ltd. &Anr. v. CERC &Ors.) - deserve to be allowed.* ***We order accordingly directing the Central Electricity Regulatory Commission to take up the claim cases of the Solar Power Projects Developers herein for further proceedings and for passing necessary orders consequent to the findings recorded by us in the preceding parts of this judgment, allowing Change in Law (CIL) compensation (on account of GST laws and Safeguard Duty on Imports, as the case may be) from the date(s) of enforcement of the new taxes for the entire period of its impact, including the period post Commercial Operation Date of the projects in question, as indeed towards Operation & Maintenance (O&M) expenses, along with carrying cost subject, however, to necessary prudence check.****"*

39. In view of the above, this Commission holds that the Petitioner, in the instant petitions, shall be eligible for carrying costs starting from the date when the actual payments were made to the authorities until the date of issuance of this Order, at the actual rate of interest paid by the Petitioner for arranging funds (supported by Auditor's Certificate) or the rate of interest on working capital as per the applicable RE Tariff Regulations prevailing at that time or the late payment surcharge rate as per the PPA, whichever is the lowest. Once a supplementary bill is raised by the Petitioner in terms of this order, the provision of Late Payment Surcharge in the PPA would kick in if the payment is not made by the SECI/Respondents within the due date. However, it is pertinent to mention that the Petitioner, in its submissions, stated that it is entitled

to carrying cost along with interest on carrying cost. We hold that the carrying cost in the instant case already factors in the interest on the Petitioner's liability towards payment of CIL claims, and as such, the prayer for 'interest on carrying cost' as a separate component does not sustain.

40. Accordingly, the Commission hereby directs the contracting parties to carry out the reconciliation of additional expenditure along with carrying cost by exhibiting a clear and one-to-one correlation with the projects and the invoices raised, supported with an auditor certificate. The Commission further directs that the SECI is liable to pay the Petitioner all the above-reconciled claims.

41. The Hon'ble Supreme Court, in its Order dated 12.12.2022, in Civil Appeal no. 8880/2022 in the case of *"Telangana Northern Power Distribution Co. Limited & Anr. Vs. Parampujya Solar Energy Pvt. Limited & Ors."* (and in similar Orders dated 03.01.2023 and 23.01.2023) has held as under:

> *"Pending further orders, the Central Electricity Regulatory Commission (CERC) shall comply with the directions issued in paragraph 109 of the impugned order dated 15 September 2022 of the Appellate Tribunal for Electricity. However, the final order of the CERC shall not be enforced pending further orders."*

42. Therefore, in view of the Hon'ble Supreme Court Order dated 12.12.2022, as quoted above, the directions issued in this Order so far as they relate to compensation for the period post Commercial Operation Date of the projects in question as also towards carrying cost (pre-COD & post-COD) shall not be enforced and shall be subject to further orders of the Hon'ble Supreme Court in Civil Appeal No. 8880/2022 in *Telangana Northern Power Distribution Company Limited & Anr. V. Parampujya Solar Energy Pvt. Limited & Ors, and connected matters*.

43. The issue is decided accordingly.

44. The summary of our findings is as follows:
    a) The *2021 GST Notifications* are a Change in Law event in terms of Article 12 of the PPA dated 20.08.2021.
    b) The Petitioner is entitled to compensation on account of a Change in Law as per the terms of Article 12 of the PPA dated 20.08.2021, due to *2021 GST Notifications*. The

compensation is to be effected as per Article 12.2.3 of the PPA dated 20.08.2021. The contracting parties to carry out reconciliation on account of additional expenditure as per Article 12 of the PPA dated 20.08.2021 by exhibiting a clear and one-to-one correlation with the projects and the invoices raised, supported with an auditor certificate on account of *2021 GST Notifications*.

c) The Petitioner shall also be eligible for carrying cost starting from the date when the actual payments were made to the Authorities till the date of issuance of this Order, at the actual rate of interest paid by the Petitioner for arranging funds (supported by Auditor's Certificate) or the rate of interest on working capital as per applicable RE Tariff Regulations prevailing at that time or the late payment surcharge rate as per the PPA, whichever is the lowest. Once a supplementary bill is raised by the Petitioner in terms of this order, the provision of a Late Payment Surcharge in the PPA would kick in, if the payment is not made by the Respondents within the due date. As the carrying cost already factors in the interest on the Petitioner's liability towards payment of CIL claims, and as such, the prayer for 'interest on carrying cost' as a separate component does not sustain.

d) The directions issued in this Order so far as they relate to compensation for the period post Commercial Operation Date of the projects in question as also towards carrying cost (pre-COD & post-COD) shall not be enforced and shall be subject to further orders of the Hon'ble Supreme Court in Civil Appeal No. 8880/2022 in *Telangana Northern Power Distribution Company Limited & Anr. V. Parampujya Solar Energy Pvt. Limited & Ors., and connected matters*.

45. The Petition no. 78/MP/2023 is disposed of in terms of the above.

Sd/	Sd/	Sd/	Sd/
रविंदर सिंह ढिल्लों	**हरीश दुदानी**	**रमेश बाबू वी.**	**जिष्णु बरुआ**
सदस्य	**सदस्य**	**सदस्य**	**अध्यक्ष**